UNIT – I

- **Introduction**
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INTRODUCTION

Organizational behavior is a field of study that investigates the impact that individuals, groups and organizational structure have on behavior within the organization, for the purpose of applying such knowledge towards improving Organizational effectiveness.

The above definition has three main elements; first organizational behavior is an investigative study of individuals and groups, second, the impact of organizational structure on human behavior and the third, the application of knowledge to achieve organizational effectiveness.

These factors are interactive in nature and the impact of such behavior is applied to various systems so that the goals are achieved. The nature of study of organizational behavior is investigative to establish cause and effect relationship.

Organizational behavior involves integration of studies undertaken relating to behavioral sciences like psychology, sociology, anthropology, economics, social psychology and political science. Therefore, organizational behavior is a comprehensive field of study in which individual, group and organizational structure is studied in relation to organizational growth and organizational culture, in an environment where impact of modern technology is great.

The aim of the study is to ensure that the human behavior contributes towards growth of the organization and greater efficiency is achieved. Organizational behavior can be defined as – "The study and application of knowledge about human behavior related to other elements of an organization such as structure, technology and social systems."

Stephen P Robins defines Organizational behavior "As a field of study that investigates the impact that individuals, groups and structure have on behavior within organization for the purpose of applying such knowledge towards improving an organization's effectiveness."

According to Keith Davis "Organizational behavior is the study and application at knowledge about the how people – as individuals and a groups – act within organization. It strives to identify ways in which people can act more effectively."

.According to Luthans"Organizational behavior can be defined as the understanding, prediction and management of the human behavior affect the performance of the organizations."

Organizational behavior is not a discipline in the usual sense of the term, but is rather an

electric field of study involving the integration of the behavioral sciences (e.g., psychology, sociology, anthropology, etc.) into the study of people's behavior within organizations. While those who conduct research in organizational behavior often come from business schools, they may have their roots in diverse areas such as political science, sociology, psychology, or anthropology. It is the integration of relevant knowledge of these areas that has given us a new field of study – organizational behavior (frequently abbreviated as OB). Aldag and Brief have defined OB as follows:

"Organizational behavior is a branch of the social sciences that seeks to build theories that can be applied to predicting, understanding, and controlling behavior in work organizations."

Thus, OB is primarily concerned with that aspect of human behavior which is relevant for organizational performance. It studies human behavior at individual level, group level, and organizational level. It applies the knowledge gained about individuals, groups and the effect of organizational structure on behavior towards the end of making organizations work more effectively.

OB is not a discipline in itself but it uses knowledge developed in the relevant disciplines. OB basically draws concepts and principles from behavioral sciences and the core disciplines of behavioral sciences are psychology, sociology, and anthropology. Since these disciplines themselves are part of social sciences, it can be said that OB draws something from social sciences like economics, history, and political science.

OB draws knowledge from all these disciplines but it does not draw the whole knowledge of these disciplines but only the relevant knowledge which helps in predicting and directing human behavior in the organization.

NATURE OF ORGANIZATIONAL BEHAVIOR

- It has assumed the status of a distinct field of study. It is a part of general management. It represents behavioral approach to management.
- It contains a body of theory, research, application associated when a growing concern for in work place. Its study helps in understanding human behavior.
- The study of theories and research experiences of organization facilitates manager for creative thinking to solve human problems in organizations.
- This discipline is heavily influenced by several other behavioral sciences and social sciences like psychology, Sociology and anthropology.
- It provides rational thinking about people. It concentrates on three level of behavio r.

  They are individual behavior, group behavior and organizational behavior.
- O.B. has psychological foundations. The concept like learning, perception, attitude, motivation etc is borrowed from psychology, sociology and anthropology.

THE SCOPE OF THE ORGANIZATIONAL BEHAVIOR

(a) Impact of personality on performance

(b) Employee motivation

(c) Leadership

(d) How to create effective teams and groups

(e) Study of different organizational structures

(f) Individual behavior, attitude and learning

(g) Perception

(h) Design and development of effective organization

(i) Job design

(j) Impact of culture on organizational behavior

(k) Management of change

(l) Management of conflict and stress

(m) Organizational development

(n) Organizational culture

(o) Transactional analysis

(p) Group behaviour, power and politics

(q) Job design

(r) Study of emotion

CHALLENGES IN ORGANIZATION BEHAVIOR

The contemporary Indian business is characterized by two major features – liberalisation of economy and globalization of economy. Liberalisation of economy has paved the way for free economy in which one can do what one wants. This has resulted into fierce business competition and business organizations have been forced to change their working styles to face this competition. This change is creating a lot of behavioral problems which managers have to solve. Another aspect of the contemporary business is globalization. This has not only affected Indian business organizations but organizations throughout the world have been affected. In the Indian context, many multinationals have come to India and many Indian organizations have gone abroad. This process is still in progress. Globalization has raised two types of behavioral problems - The Challenges Faced by the Management and Challenges in Organizational Behavior.

The Challenges Faced by the Management

Although the field of OB has been around the past three decades, there are new dramatic challenges taking place as we have entered the twenty-first century. For example, the typical employee is becoming older, his/her expectations are in fact changing, loyalties to the organizations have become a feature of the other day, more and more women are joining the work force, and the ever increasing global competition of business is requiring employees to become more flexible and to learn to cope with rapid changes posing challenges. In sum, there are a lot of challenges for OB to face in the twenty-first century.

Work-Force Diversity: Work-force diversity can be defined as the situation that exists when members of a group or organization differ from each other in terms of age, gender, race, ethnicity, and education. When workers join organizations, they come with their differing cultural values and life style preferences. Therefore, the challenge for organizations is to make them accommodating to diverse groups of people at work place by addressing their different life styles, cultural moorings, family needs, and work styles. Managing people through melting pot assumption was a fact till the other day. Now, it is being replaced by one that recognizes and values differences among workers in organizations. If diversity is managed properly, it can increase creativity and innovations. On the contrary, diversity, if not managed properly, can result in higher turnover, heightened inter-personal conflict, and ineffective communication.

Changing Demographics of Workforce: The demographic characteristic of workforce has undergone changes over the years. Increasing number of women joining industrial workforce, higher proportion of young workers, increasing share of aged people in work-force due to increased life-expectancy, and increasing tendency of husband and wife as working are the prominent changes, which have occurred in workforce demographics everywhere in the world including India. Employees with such changing demographics need to be handled with circumspection.

Changing Employee Expectations: Besides changes in workforce demographics, employee’s expectations and aspirations have changed from traditional allurement such as job security, good and attractive remunerations, housing facility to empowerment, equality and quality of work life (QWL). Employees expect equality with management. They emphasize on leading by example.

A new change in employees' expectations has been shifting them from factory-place to the home. A case in point is Bangalore-based Veri-Fone. In this organization, all the 100 employees used to work with computers at home. They were linked to the office and customers. Thus, employees' homes turned into surrogate offices. In the recent years, such paradigm shift has occurred even in educational field. Under open/distance education system, the student does not go to the educational institution for learning his/her subject. Instead, the teacher in such case goes to the student's place through the study material, tele conferencing, radio broadcast, etc.

CHALLENGES FOR ORGANIZATIONAL BEHAVIOR

The contemporary Indian business is characterized by two major features–liberalisation of economy and globalization of economy. Liberalisation of economy has paved the way for free economy in which one can do what one wants. This has resulted in fierce business competition and business organizations have been forced to change their working styles to face this competition. This change is creating a lot of behavioral problems which managers have to solve. Another aspect of the contemporary business is globalization. This has not only affected Indian business organizations but organizations throughout the world have been affected. In the Indian context, many multinationals have come to India and many Indian organizations have gone abroad. This process is still in progress. Globalization has raised two types of behavioral problems. First, when a manager of Indian origin goes abroad, he has to manage a workforce which is quite different from the workforce that he was managing. Such differences may not be only in terms of languages and living habits but there may be differences in terms of aspirations, needs, attitudes, way of working, etc. It implies that earlier strategy of tackling behavioral issues may not be effective; this has to be changed according to the new situation. Second, when a manager joins a multinational company operating in India, he finds himself in totally different work culture. In this situation, the manager has to change himself to fit with the new situation. In the light of this economic liberalisation and globalization, we can identify the behavioral challenges that managers have to face in managing organizations. These challenges are as follows:

1. Cross-cultural dynamics,
2. Workforce diversity,
3. Increasing workforce aspirations,
4. Increasing quality consciousness,
5. Newer organizational designs, and

Cross-cultural Dynamics: Cross-cultural dynamics implies that people of different cultures have different behavioral patterns. On the basis of various researches, it has been concluded that management practices are culture bound and no single management practice is suitable to all cultures. Culture is a set of beliefs, attitudes, and values that are shared commonly by the members of the society. Since different countries may have different cultures, people of different countries may have different behavioral patterns. Two dimensions that explain the differences in behaviors due to culture: individualism–collectivism continuum and power distance. Individual-collectivism continuum suggests that people's behaviors depend on whether they have belief in individualism or collectivism. Individualism exists to the extent that people in a culture define themselves by referring to themselves as singular persons rather than as part of one or more groups or organizations. At work, people from individualistic cultures tend to be more concerned about themselves rather than their work group and individual tasks are more important than relationships. Collectivism is characterized by tight social frameworks in which people tend to base their identity on the group or organization to which they belong. At work, it implies that employer-employee links are more like family relationships. Thus, relationships are more important than individuals or tasks. Power distance is the extent to which less powerful people accept the unequal distribution of power. People coming from high power distance cultures prefer to be in a situation where authority is clearly understood and lines of authority are never bypassed. They observe the organizational rules strictly. On the other hand, people coming from less power distance countries have low respect for authority and are quite comfortable circumventing lines of authority to accomplish jobs. They prefer flexible organizational rules. In the age of rapid

globalization, a single organization may have people from diverse cultures. This phenomenon will pose serious challenge before managers to design management practices that are suitable for people coming from different cultures.

Workforce Diversity: While cross-cultural dynamics focuses on differences between people from different countries, workforce diversity takes into account differences between people within a given country. Workforce diversity is the extent of differences and similarities in such characteristics as age, gender, ethnic groups, physical abilities/disabilities, race, and sexual orientation among the employees of organizations. Now-a-days, more and more organizations are becoming heterogeneous in terms of employee composition based on age, gender, ethnic groups, physical abilities/disabilities, etc. For example, more and more women are joining business organizations as managers and other specialists. Similarly, special recruitment programmes are being conducted by some types of organizations to recruit members belonging to scheduled castes/tribes, physically handicapped, ex-servicemen, retired employees, and so on. The number of knowledge workers is increasing day-by-day. Because of this workforce diversity, behavioral pattern of employees shows great variation.

Workforce diversity has important implications for management practices. Managers have to shift their philosophy from treating everyone alike to recognizing differences and responding to those differences in ways that ensure employees' greater productivity while, at the same time, not discriminating. This shift may include giving special attention to certain categories of employees in training and development, career planning, etc. It may be noted that while managing workforce diversity effectively may be a challenge, if managed properly, it results in increased creativity in the organization because of diversity of ideas due to workforce diversity.

Increasing Workforce Aspirations: With the passage of time, there is a tendency of increasing workforce aspirations. International demonstration effect and easy access to media, both print and electronic, have led to increased aspirations. Today, employees not only want decent monetary package but highly conducive workplace. The buzz words in today's workplace are openness, teamwork, quality of work life, empowerment, flexible work schedules, telecommuting, and so on. These features of workplace are quite different from what used to be in the past. For meeting these aspirations of workforce, managers have to create a new type of work environment to stimulate employees to put their best as well as to attract talents for future requirements.

Increasing Quality Consciousness: Because of increased competition, both from indigenous and from foreign organizations, there is increased emphasis on quality of products and services, that too at competitive cost. Today, the buzz words in quality are total quality management, kaizen (improvement upon improvement), six sigma standard, and quality certification. Because of increasing emphasis on quality, organizations have to change not only their technology but way of their working. Such a change results in behavioral problems in employees as they perceive that such a change would affect them adversely. Therefore, the managers have to adopt suitable practices to ensure that employees accept willingly and become part of the mission of spreading quality consciousness throughout the organization.

Newer Organizational Designs: Organizational designs, today, are not based on the

classical approach of division of labor, rigid departmentation, authority-responsibility parity, and numerous hierarchical levels. These have moved from bureaucratic to adaptive structure, from mechanistic to organic structure, and from tall to flat structure. Information technology has led to the development of networked organizations in the form of temporary alliances of suppliers, customers, and even erstwhile competitors. Working pattern of newer organizational designs is quite different from classical organizational designs. Therefore, employees have to unlearn their old way of working and learn new way of working. This transition from old way to new way is quite painful. It is the responsibility of managers to create a kind of work environment which enthuses the employees to adapt new way of working.

OPPORTUNITIES

Organizational behavior is a medium that provides significant opportunities for change. Once a company's organizational behavior is identified and analyzed, problem areas can be addressed. Additionally, there may be undiscovered opportunities to improve aspects that are already strong. For example, an organization with successful sales output can introduce new reward packages or incentives for its salespeople to further boost production. Alternately, if that same company's sales performance is poor, management can evaluate its leadership or introduce new coaching programs to address each employee's weak points, then follow through with incentives once performance increases.

ORGANIZATIONAL GOALS

Organizational Goals are the overall objectives, purpose and mission of a business that have been established by its management and communicated to its employees.

The organizational goals of a company typically focus on its long range intentions for operating and its overall business philosophy that can provide useful guidance for employees seeking to please their managers.

TYPES OF ORGANIZATIONAL GOALS

Organizations set many different types of goals. These goals are most commonly classified into two broad categories- Level-Wise (top, middle and operational) and Time-Wise (short-term, medium-term, and long-term).

LEVEL WISE GOALS

Organizations are generally divided into three levels- top, middle and bottom. Generally, organization goals are formulated at the top of the pyramid and filter down. In some cases, the reverse is also true. Based on this classification of organizational levels, four types of goals can identified- Mission, Strategic Goals, Tactical Goals And Operational Goals.

MISSION

The Organization's mission describes the vision of its top leadership.The organizations must first visualize what they aim to become. They develop and formulate inspiring statements of the core purposes of their work. These mission statements, thus, reflect the focus, image, philosophy and aspirations of the organization. The mission projects the image of the organization .Organizational members identify themselves with the mission.

STRATEGIC GOALS

Strategic goals are stated in general terms. They are developed in view of the mission of the organization. They outline overall organizations goals relating to different dimensions of their business like profit making, product development, resources allocation, human resource development, research priorities, and so on. The board of directors and the top management of the organization set strategic goals. While setting such goals, they seek inputs from staff specialist and middle managers. Strategic goals, thus, indicate the real intensions of an organization. The executive management of an organization usually determines the strategic goals. These top leaders scan the external environment for opportunities or threats to the organization. Its aim is to match internal strengths and weakness to changes in the external environment in order to create new opportunities.

TACTICAL OR INTERMEDIATE GOALS

Tactical or intermediate goals are set to translate the strategic goals into action. These goals involve the middle level managers .Compared with strategic goals, these goals have a some what shorter time span, and more specific and concrete focus .The focus of tactical goals is on how to rationalize actions necessary to achieve the strategic goals.

OPERATIONAL GOALS

Operational goals are set for lower-level management. The main concern here is with shorter term issues associated with intermediate or tactical goals. The supervisory level staff members are responsible for developing and implementing operational goals that will meet the tactical goals. Activities and resources are assigned to individuals and groups to carry out some portion of the operational goals. The operational goals affect employees day to-day-activities.

TIME SPAN

Organizational goals are also set across different time span. It is a common practice to divide goals into three time frames-long term, medium and short -term. Missions have infinite time horizon. Strategic goals are long term and cover many years, perhaps even decade. Intermediate or tactical goals are medium term and usually cover periods from one to five years. Operational goals are short term and have a time frame of one year or less.

MODELS OF ORGANIZATION BEHAVIOR

A model is an abstraction of reality, a simplified representation of some real-world phenomenon. Models are developed in different fields to guide activities in those fields. In the field of organizational behavior, models are developed to provide framework about 'how people will be treated in an organization'.

Every organization develops a particular model in which behavior of the people takes place. This model is developed on the basis of management's assumptions about people and the vision of the management. Since these assumptions vary to a great extent, these result in the development of different organizational behavior models (OB models).

Davis has described four OB models which are as follows –

1. Autocratic
2. Custodial
3. Supportive
4 Collegial

AUTOCRATIC MODEL

In case of an autocratic model, the managerial orientation is dictatorial. The managers exercise their commands over employees. The managers give orders and the employees have to obey the orders. Thus, the employees' orientation towards the managers/bosses is obedience. Under autocratic conditions, employees usually give minimum performance and, in turn, get minimum wages. Some employees give higher performance either because of their achievement drive or their personal liking to the boss or because of some other factor.

Evidence such as the industrial civilization of the United States and organizational crises do suggest that the autocratic model produced results. However, its principal weakness is its high human cost. The combination of emerging knowledge about the needs of the employees and ever changing societal values and norms suggested to managers to adopt alternative and better ways to manage people at work. This gave genesis to the later types of models of organizational behavior.

THE CUSTODIAL MODEL

While studying the employees, the managers realized and recognized that although the employees managed under autocratic style do not talk back to their boss, they certainly think bad about the system. Such employees filled with frustration and aggression vents them on their co-workers, families and neighbor. This made the managers think how to develop better employee satisfaction and security. It was realized that this can be done by dispelling employees' insecurities, frustration, and aggression. This called for introduction of welfare programmes to satisfy security needs of employees. Such provisions for an on-site day-care centre for quality child care are an example of such welfare programme meant for employees. Welfare programmes lead to employee dependence on the organization.

Stating more accurately, employees having dependence on organization may not afford to quit even if there seem greener pastures around. The welfare programmes for employees started by the Indira Gandhi National Open University (IGNOU), New Delhi are worth citing in this context. IGNOU, in the beginning provided its employees facilities like house-lease facility, subsidized transport facility, day-time child care centre in the campus, etc. These made employees dependent on IGNOU which, in turn, became custodian of its employees.

Although the custodial approach brings security and satisfaction, it suffers from certain flaws also. Employees produce nowhere near their capacities. They are also not motivated to increase their capacities of which they are capable. Though the employees are satisfied, still they do not feel motivated or fulfilled in the work they do. This is in conformity with the research findings that "the happy employee is not necessarily the most productive employee." Consequently, managers and researchers started to address yet another question, "Is there better approach/way to manage people?" The quest for a better way provided a foundation for evolvement to the next type of model of organizational behavior.

THE SUPPORTIVE MODEL

The supportive model is founded on leadership, not on money or authority. In fact, it is the managerial leadership style that provides an atmosphere to help employees grow and accomplish their tasks successfully. The managers recognized that the workers are not by nature passive and disinterested to organizational needs, but they are made so by an inappropriate leadership style. The managers believe that given due and appropriate chances, the workers become ready to share responsibility, develop a drive to contribute their mite, and improve themselves. Thus, under supportive approach, the management's orientation is to support the employee's job performance for meeting both organizational and individual goals.

However, the supportive model of organizational behavior is found more useful and

effective in developed nations and less effective in developing nations like ours because of employees' more awakening in the former and less in the latter nations.

THE COLLEGIAL MODEL

The collegial model is an extension of the supportive model. As the literal meaning of the word 'college' is a group of persons having the common purpose, the collegial model relates to a team work concept. The basic foundation of the collegial model lies on management's building a feeling of partnership with employees. Under collegial approach, employees feel needed and useful. They consider managers as joint contributors to organizational success rather than as bosses.

Its greatest benefit is that the employee becomes self-disciplined. Feeling responsible backed by self-discipline creates a feeling of team work just like what the members of a football team feel. The research studies report that compared to traditional management model, the more open, participative, collegial managerial approach produced improved results in situations where it is appropriate.

	Autocratic	***Custodial***	***Supportive***	***Collegial***
Basis of Model	Power	Economic resources	Leadership	Partnership
Managerial-orientation	Authority	Money	Support	Teamwork
Employee psychological result	Dependence on boss	Dependence on organization	Participation	Self-discipline
Employee needs met	Subsistence	Security	Status and recognition	Self-actualization
Performance result	Minimum	Passive cooperation	Awakened drives	Moderate enthusiasm

It is wrong to assume that a particular model is the best model. This is because a model depends on the knowledge about human behaviour in a particular environment, which is unpredictable. The primary challenge for management is to identify the model it is actually using and then assess its current effectiveness.

The selection of model by a manager is determined by a number of factors such as, the existing philosophy, vision and goals of manager. In addition, environmental conditions help in determining which model will be the most effective model.

IMPACT OF GLOBAL AND CULTURAL DIVERSITY ON OB.

Globalization is the free movement of goods, services and people across the world in a seamless and integrated manner. Globalization means to increase their base of operations, expand their workforce with minimal investments, and provide new services to a broad range of consumers.

Thirty years ago, national borders acted to insulate most firms from foreign competitive pressures. Capitalism is replacing the government control and now organizations are no longer constrained by national borders.

The world today has become a Global Village. Workers increasingly chase job opportunities across national borders. Multi national corporations developed operations world wide and companies developed joint ventures with foreign partners.

As organizations have become more global, their work force has become culturally diverse. Globalization has created a large shift in organizational behavior as increasing diversity has brought together people of different backgrounds with different values, cultures and beliefs all working together for common objective. As organizations have become more global, their work force has become culturally diverse. Diversity, if positively managed, can increase creativity and innovation in the organization.

Cultural diversity involves the differences in the composition of members of an organization in terms of nationality, race, color, gender, creed, religion or age --- in other words, an array of culture found among people from diverse backgrounds. Organizational behavior refers to the nature of interactions among people and groups within an organization. The positive influence of cultural diversity facilitates members of the organization to build relationships and acknowledge each other regardless of their differences of origin and background.

A typical organization has an extensive range of people who have cultural and personal differences. A small business interested in fostering cultural diversity among its employees endeavors to create mutual respect for the different cultures, along with enabling personnel to reach their full potential. Acknowledging diverse cultures enables the organization to positively influence the organizational behavior that, in turn, enhances the performance and image of the organization. The business should portray the cultural diversity aspect of the organization in the mission statement.

Transforming Organizational Behavior

The patterns of behavior in the organization are influenced by the nature of interactions and degree of diversity within the organization. The business, therefore, should seek to create an organizational culture that not only enhances the diversity of its workforce composition but also boosts individual performance. The positive influences of cultural diversity not only enable the organization to increase the scope of its reach --- the business also receives favorable exposure from every sector of the population due to its multicultural approach.

Influencing Cultural Diversity

Cultural diversity is geared toward having a deep respect and understanding of the various people in the organization. This aspect of the organization is strengthened by having feedback, teamwork, team-building activities and interpersonal communication. During such engagements, individuals are able to interact and appreciate each other's culture;

consequently, an accommodating culture and organizational behavior is established within the organization.

Sustaining Positive Influence Programs

Programs for positive influence should always be adjusted to suit the dynamic nature of interactions among people. Establish regular forums and educational programs in which participants are trained to be sensitive to and appreciate cultural diversity, as well as in maintaining desirable organizational behavior. Regularly post motivational quotes and messages of cultural diversity on public bulletin boards. Concentrate on creating programs that internalize cultural diversity into the organization's behavior.